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Investor Presentation | Japan

Electronic Chemicals: Tech Monthly June 2026

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ELECTRONIC CHEMICALS	
Japan	
Industry View	In-Line

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Key points for Electronic Chemicals

Electronic Chemicals: Industry view In-Line

Resonac > Sumitomo Bakelite > Tokyo Ohka Kogyo

- We think Resonac is likely to embark on capacity adds and further price hikes for CCLs.
- Sumitomo Bakelite's business is strong at present; sales of granular encapsulants to Intel are increasing, and sample supplies of liquid encapsulants to TSMC and OSACs are starting up.
- Tokyo Ohka Kogyo's lower growth rate than JSR may reflect lower MOR capacity.

Key points regarding materials

- Very strong performance for FC-BGA CCLs.
- Semiconductor sealant materials doing well in Taiwan market.
- The China market is driving photoresists.

Stock prices and valuations

as of 2026/06/19																									
Electronic Chemicals																									
Industry View: In-Line	Current Price(Y)	Market Cap (JPY bn)	Rating	Price Target(Y)	Potential return (%)	P/E(x)				P/B(x)				Div. Yield (%)				EV/EBITDA (x)				ROE(%)			
						25	26e	27e	28e	25	26e	27e	28e	25	26e	27e	28e	25	26e	27e	28e	25	26e	27e	28e
4004 Resonac Holdings (New)	18,390	3,400	OW	22,400	21.8	114.6	32.6	24.3	21.3	4.8	4.2	3.6	3.2	0.4	0.4	0.4	0.4	19.4	14.2	12.7	77.2	4.3	13.7	16.1	15.8
(Diluted)						114.6	36.5	27.3	23.9	-	-	-	-												
4186 Tokyo Ohka Kogyo (New)	11,125	1,422	EW	9,400	-15.5	40.0	37.7	32.8	32.8	5.9	5.3	4.7	4.7	0.6	0.7	0.8	0.8	24.3	22.1	17.2	17.2	15.6	14.7	15.1	14.3
4203 Sumitomo Bakelite (New)	7,710	680	OW	8,000	3.8	24.1	21.0	17.6	15.9	1.9	1.8	1.7	1.6	1.4	1.6	1.9	2.3	12.3	12.1	10.3	9.6	8.8	9.0	10.0	10.4

as of 2026/06/19																									
Fine Chemicals																									
Industry View: In-Line	Current Price(Y)	Market Cap (JPY bn)	Rating	Price Target(Y)	Potential return (%)	P/E(x)				P/B(x)				Div. Yield (%)				EV/EBITDA (x)				ROE(%)			
						25	26e	27e	28e	25	26e	27e	28e	25e	26e	27e	28e	25	26e	27e	28e	25	26e	27e	28e
4023 Kureha	3,870	193	EW	3,800	-1.8	-	13.6	12.3	12.3	0.9	0.9	0.9	0.9	5.5	5.7	4.1	4.1	-4.3	10.2	9.3	7.7	-	6.7	7.3	7.2
4043 Tokuyama	5,124	369	OW	6,300	23.0	16.6	7.0	11.5	11.0	1.3	1.1	1.1	1.0	2.3	2.5	3.1	3.5	7.3	7.1	6.4	319.4	8.2	17.2	9.5	9.4
4061 Denka	4,439	393	EW	3,500	-21.2	24.4	19.4	15.6	15.6	1.2	1.2	1.2	1.2	2.3	2.3	2.3	2.3	10.1	9.2	8.7	7.0	5.2	6.3	7.7	7.5
4091 NIPPON SANSO HOLDINGS (New)	5,564	2,410	UW	5,300	-4.7	19.4	17.6	17.6	17.1	2.0	1.8	1.7	1.6	1.1	1.2	1.2	1.3	9.6	9.4	8.9	72.4	11.3	10.8	9.9	9.5
4118 Kaneka	5,730	361	EW	4,600	-19.7	11.4	13.0	10.3	10.3	0.7	0.7	0.6	0.6	2.8	2.9	3.0	3.0	6.7	5.9	5.5	4.5	6.4	5.3	6.5	6.3
4182 Mitsubishi Gas Chemical (New)	5,424	1,148	OW	5,900	8.8	-	18.5	16.3	14.3	1.6	1.6	1.5	1.4	1.8	2.0	2.2	2.2	14.9	10.6	9.7	159.0	-	8.6	9.3	10.0
4202 Daicel	1,328	340	EW	1,400	5.5	34.3	7.7	6.6	6.6	1.0	0.9	0.8	0.8	4.5	4.8	5.3	5.3	6.4	5.5	5.0	3.9	2.8	12.0	13.1	12.5
4204 Sekisui Chemical (New)	2,471	1,002	UW	2,200	-11.0	13.5	11.7	10.6	10.6	1.2	1.1	1.1	1.0	3.2	3.5	3.6	3.9	6.0	6.3	5.8	116.7	9.0	9.8	10.2	9.6
4403 NOF	2,710	641	OW	3,600	32.8	15.4	13.7	12.8	12.8	2.1	2.0	1.9	1.9	2.3	2.7	2.8	2.8	8.0	5.3	5.5	6.0	14.1	15.1	15.5	15.1

Source: Company data, Morgan Stanley Research, e= Morgan Stanley Research estimates; New refers to our latest published estimates.

Note: Share prices are as of 19 June 2026.

Stock price performance (as of Jun 19)

as of	2026/06/19		3M ave		Performance (%)				3M ave		(mil)	(mil)	(mil)	(mil)	(mil)	(days)	(k)	(%)
Electronic Chemicals	(JPY)	(JPY bn)	(JPY bn)		WTD	MTD	QTD	YTD	Daily vol	Mgn buy	Mgn sell	Short	Net	Net	Net	Net	Net	Net
Industry View: In-Line	Last	Market cap	Daily vol															
4004 RESONAC HOLDINGS CORP	18,390	3,400.3	53.0		8.5	-1.8	87.6	181.8	3.4	1.5	-0.3	-10.0	-8.8	-2.6	59.5	38.5		
4186 TOKYO OHKA KOGYO CO LTD	11,125	1,421.8	10.6		12.3	1.0	50.9	91.7	1.1	0.6	-0.1	0.0	0.5	0.5	18.8	27.3		
4203 SUMITOMO BAKELITE CO LTD	7,710	680.4	3.7		19.0	11.7	59.7	49.3	0.6	0.1	-0.0	0.0	0.1	0.2	8.6	35.8		

as of	2026/06/19		3M ave		3M ave											
Fine Chemicals	(JPY)	(JPY bn)	(JPY bn)	Performance (%)				(mil)	(mil)	(mil)	(mil)	(mil)	(days)	(k)	(%)	
Industry View: In-Line	Last	Market cap	Daily vol	WTD	MTD	QTD	YTD	Daily vol	Mgn buy	Mgn sell	Short	Net	Net	Holders	Foreign	
4023 KUREHA CORP	3,870	193.3	1.7	2.8	-0.9	-1.9	-5.3	0.4	0.6	-0.1	-2.8	-2.2	-5.1	9.2	18.3	
4043 TOKUYAMA CORP	5,124	369.4	3.8	9.0	0.3	37.1	24.3	0.9	1.4	-0.0	-0.4	1.0	1.1	30.6	28.6	
4061 DENKA CO LTD	4,439	393.1	3.8	10.2	-0.8	25.7	61.8	1.0	0.2	-0.1	-3.9	-3.8	-3.9	41.6	20.9	
4091 NIPPON SANJO HOLDINGS CORP	5,564	2,409.7	4.4	3.0	-10.0	0.6	19.2	0.7	0.2	-0.0	0.0	0.2	0.2	12.5	22.1	
4118 KANEKA CORP	5,730	361.0	1.2	2.9	3.8	19.5	30.4	0.2	0.2	-0.0	0.0	0.2	0.6	22.1	24.3	
4182 MITSUBISHI GAS CHEMICAL CO	5,424	1,148.2	6.7	10.6	-2.2	50.9	91.0	1.5	0.2	-0.1	0.0	0.1	0.1	33.3	21.7	
4202 DAICEL CORP	1,328	340.0	2.0	2.2	-0.5	8.3	-5.1	1.6	0.9	-0.0	0.0	0.8	0.5	37.7	32.6	
4204 SEKISUI CHEMICAL CO LTD	2,471	1,002.0	7.8	3.8	7.9	-5.2	-6.2	3.2	2.8	-0.3	0.0	2.4	0.8	155.9	34.6	
4208 UBE CORP	3,205	340.4	3.1	4.5	8.6	31.8	24.7	1.1	0.8	-0.1	-3.3	-2.5	-2.2	77.6	16.7	
4403 NOF CORP	2,710	641.0	2.5	0.9	-3.0	-12.6	-10.0	0.8	0.2	-0.0	0.0	0.2	0.2	12.0	36.9	

Source: Bloomberg, Morgan Stanley Research

Note: Share prices are as of 19 June 2026.

OP, core OP, BP (quarterly)

(JPY bn)							(YoY)					
	25/3	25/6	25/9	25/12	26/3e	26/3A	25/3	25/6	25/9	25/12	26/3e	26/3A
Electronic Materials	31.6	38.8	58.4	60.6	48.1	57.3	43%	-1%	9%	47%	52%	82%
* 4004 Resonac Holdings (IFRS)**	14.8	19.8	38.2	36.3	27.5	33.6	55%	-16%	7%	56%	85%	126%
* 4186 Tokyo Ohka Kogyo	9.8	10.0	12.0	15.5	12.5	15.1	69%	31%	23%	57%	28%	54%
4203 Sumitomo Bakelite***	6.9	9.0	8.1	8.7	8.1	8.6	2%	14%	2%	8%	17%	25%
Fine Chemicals	134.2	123.4	134.2	144.1	122.8	120.2	9%	-12%	-4%	8%	-8%	-10%
4023 Kureha	-1.0	2.3	5.8	5.2	-23.3	-31.9	-	-27%	54%	50%	-	-
4043 Tokuyama	8.9	7.9	11.3	7.6	12.8	10.3	2%	5%	75%	7%	44%	16%
4061 Denka	2.6	2.3	7.4	8.5	7.3	8.0	216%	-51%	59%	248%	181%	209%
4091 NIPPON SANSO HOLDINGS**	49.4	45.6	48.6	52.0	49.8	56.8	20%	-6%	8%	12%	1%	15%
4118 Kaneka	10.9	8.2	6.8	7.2	11.8	10.7	0%	-21%	-23%	-28%	8%	-2%
4182 Mitsubishi Gas Chemical	5.6	11.0	14.2	12.7	10.2	7.5	-36%	-30%	-21%	10%	83%	35%
4202 Daicel	17.8	13.0	7.1	12.3	8.6	9.6	-1%	-25%	-50%	6%	-52%	-46%
4204 Sekisui Chemical	30.6	21.2	24.2	27.5	32.1	33.6	7%	5%	-15%	-4%	5%	10%
4403 NOF	9.5	11.8	8.8	11.2	13.7	15.6	8%	-12%	-10%	-10%	43%	63%
Total	165.8	162.2	192.6	204.7	170.9	177.5	14%	-10%	0%	17%	3%	7%

*CY, **Core OP, ***Business profit

Source: Company data, Morgan Stanley Research, e= Morgan Stanley estimates

OP, core OP, BP (yearly)

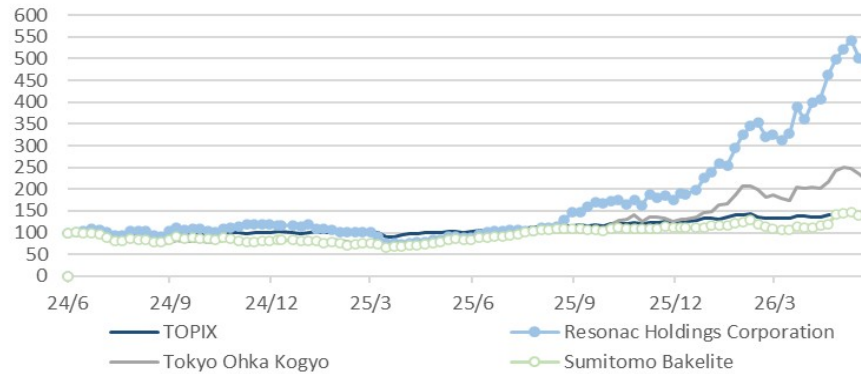
(JPY bn)										(YoY)			(YoY)			
	F23		F24		F25		F26			F25			F26			F26
	A	A	Ce	Con	e	A	Con	e	Ce	Con	e	A	Con	e	Ce	Ce vs Con
Electronic Materials	60.1	156.1	172.0	189.9	190.5	191.0	222.3	284.0	230.2	22%	22%	22%	16%	49%	21%	4%
* 4004 Resonac Holdings (New)**	9.9	92.1	98.0	109.1	109.1	109.1	131.4	183.0	140.0	18%	18%	18%	20%	68%	28%	7%
* 4186 Tokyo Ohka Kogyo (New)	22.7	33.1	40.0	47.4	47.4	47.4	53.8	60.0	52.2	43%	43%	43%	14%	27%	10%	-3%
4203 Sumitomo Bakelite (New)***	27.5	30.8	34.0	33.4	34.0	34.5	37.1	41.0	38.0	8%	10%	12%	8%	19%	10%	2%
Fine Chemicals	496.7	548.1	520.1	555.9	524.5	521.9	633.1	639.0	-	1%	-4%	-5%	21%	22%	-	-
4023 Kureha	12.8	9.4	-17.9	14.0	-10.0	-18.6	15.5	16.0	10.0	48%	-	-	-	-	-	-35%
4043 Tokuyama (New)	25.6	30.0	39.0	39.8	39.5	37.0	43.1	40.0	-	33%	32%	24%	16%	8%	-	-
4061 Denka	13.4	14.4	25.0	25.5	25.5	26.2	36.3	34.5	30.0	77%	77%	82%	38%	32%	14%	-17%
4091 NIPPON SANSO HOLDINGS (New)**	166.0	189.1	196.0	197.8	196.0	203.1	213.3	210.0	208.0	5%	4%	7%	5%	3%	2%	-2%
4118 Kaneka	32.6	40.1	34.0	33.7	34.0	32.9	40.8	44.0	36.0	-16%	-15%	-18%	24%	34%	9%	-12%
4182 Mitsubishi Gas Chemical (New)	47.3	50.9	47.0	47.5	48.0	45.3	60.2	68.0	59.0	-7%	-6%	-11%	33%	50%	30%	-2%
4202 Daicel	62.4	61.0	41.0	43.6	41.0	42.1	51.2	57.0	42.5	-29%	-33%	-31%	22%	35%	1%	-17%
4204 Sekisui Chemical (New)	94.4	108.0	110.0	108.2	105.0	106.5	119.2	115.0	115.0	0%	-3%	-1%	12%	8%	8%	-4%
4403 NOF	42.1	45.3	46.0	45.8	45.5	47.4	53.5	54.5	50.0	1%	0%	5%	13%	15%	5%	-7%
Total	556.7	704.2	692.1	745.8	715.0	712.9	855.4	923.0	-	6%	2%	1%	20%	29%	-	-

*CY, **Core OP, ***Business profit

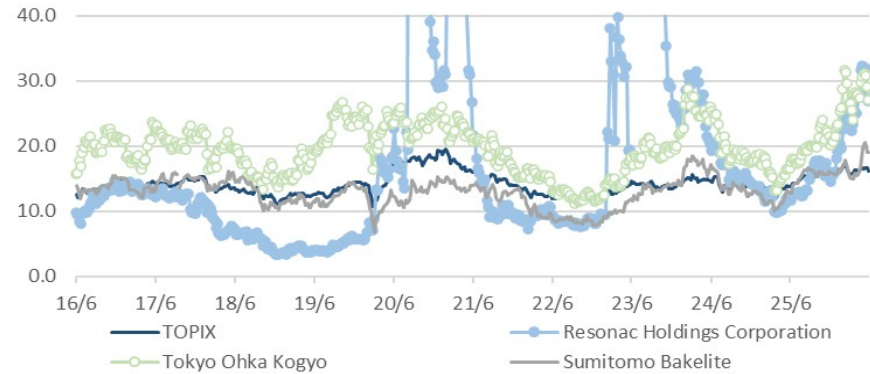
Source: Company data, Morgan Stanley Research, e= Morgan Stanley estimates, Con = Factset Consensus, Ce = Company estimates; New refers to our latest published estimates.

Stock price performance, P/E, P/B, ROE

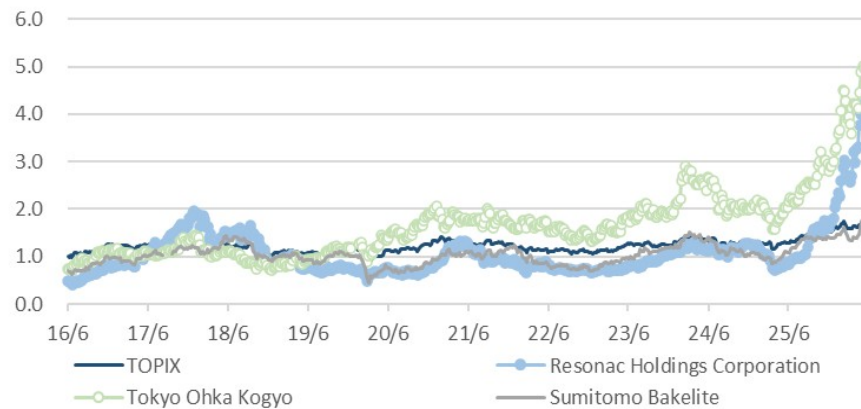
Stock price performance (24/6/21 = 100)



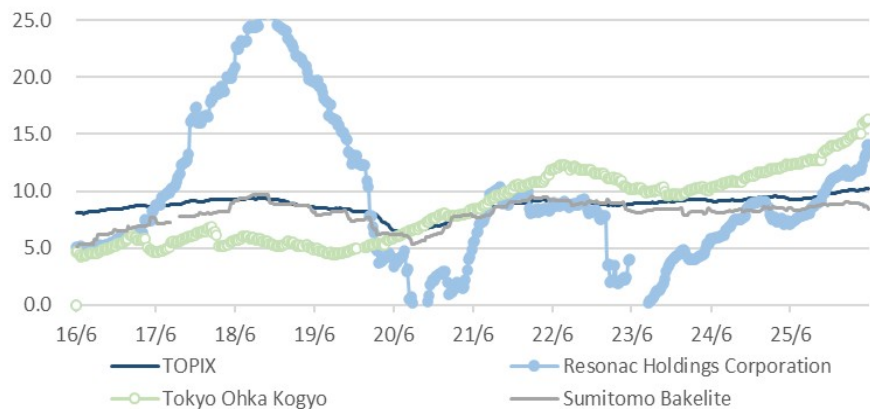
P/E (X; 1yr-fwd consensus basis)



P/B (X; 1yr-fwd consensus basis)



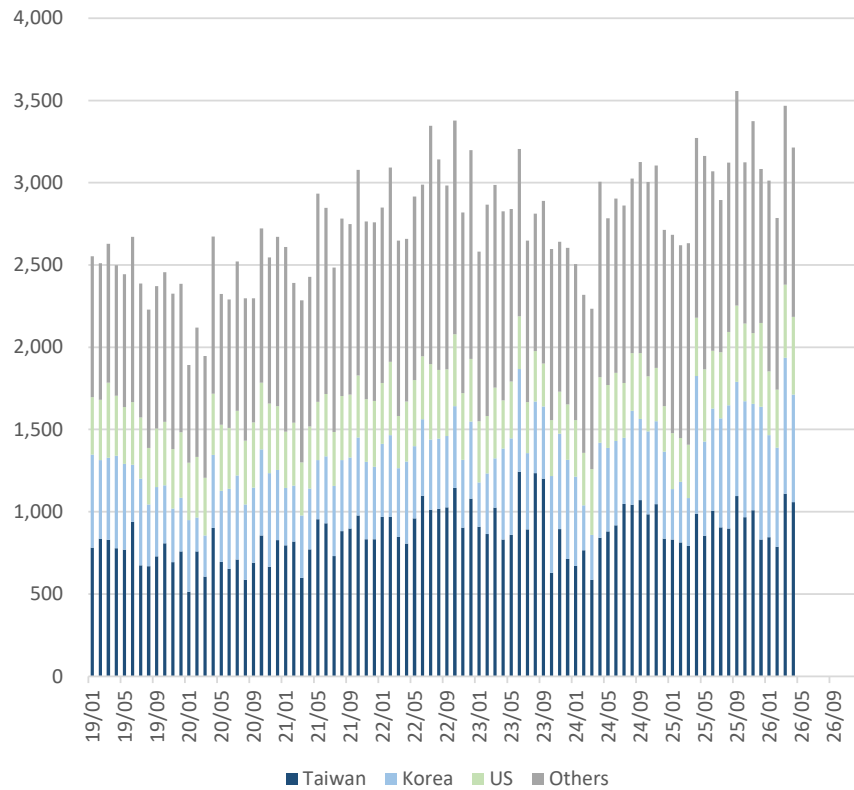
ROE (%; 1yr-fwd consensus basis)



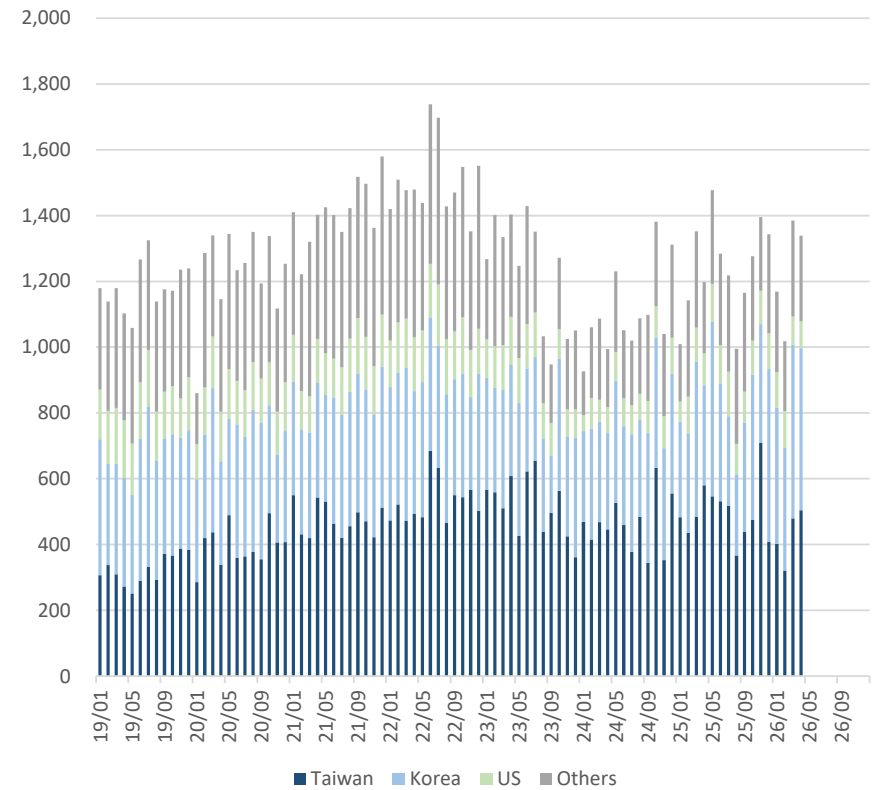
Source: FactSet, Morgan Stanley Research

Silicon wafer shipments (300mm conversion, k/m)

from Tokyo area



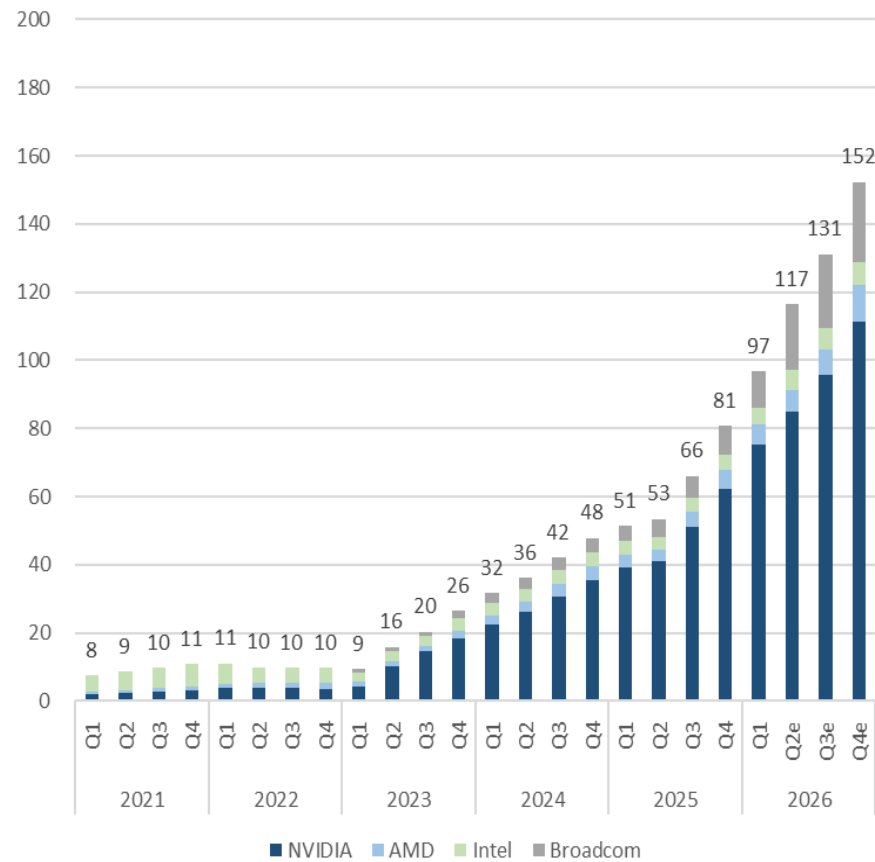
from Kyushu area



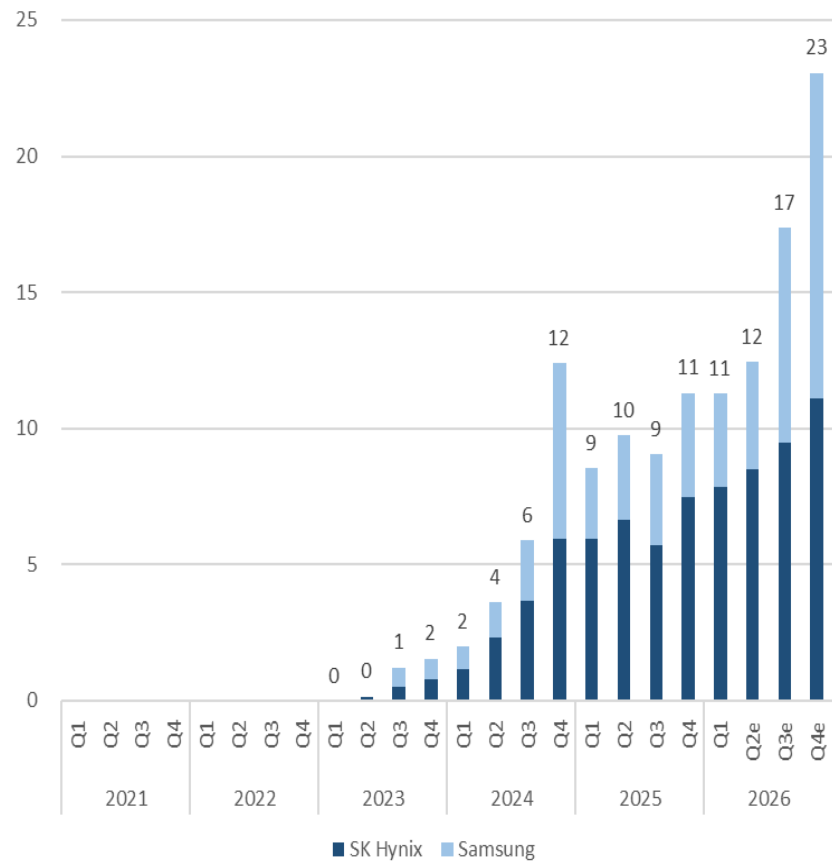
Source: MOF, Morgan Stanley Research

AI-related sales (calendar quarters, USD bn)

Logic by company



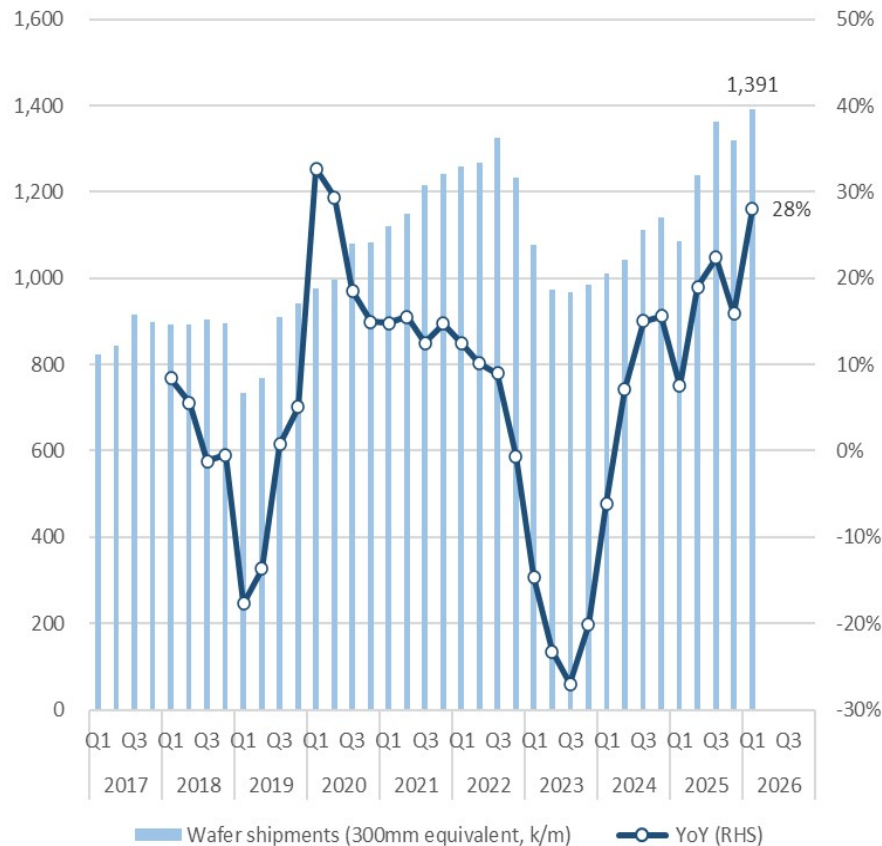
HBM by company



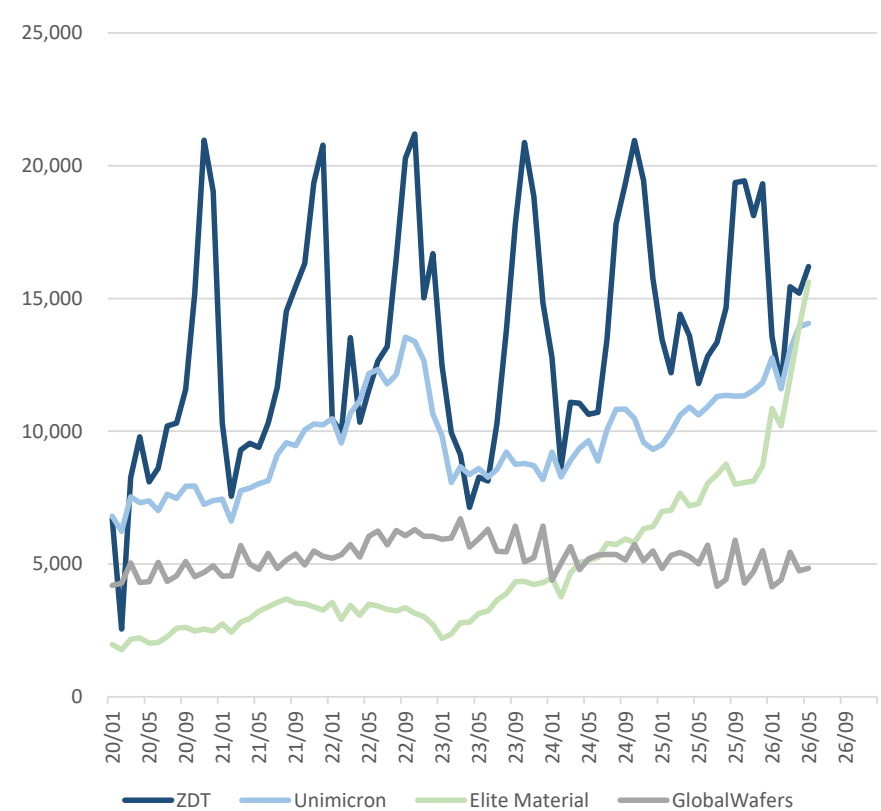
Source: Company data, Morgan Stanley Research, e= Morgan Stanley estimates

TSMC's shipment volume (CY quarterly, 300mm conversion), sales of leading Taiwanese companies (monthly)

TSMC quarterly wafer shipments (k/m)



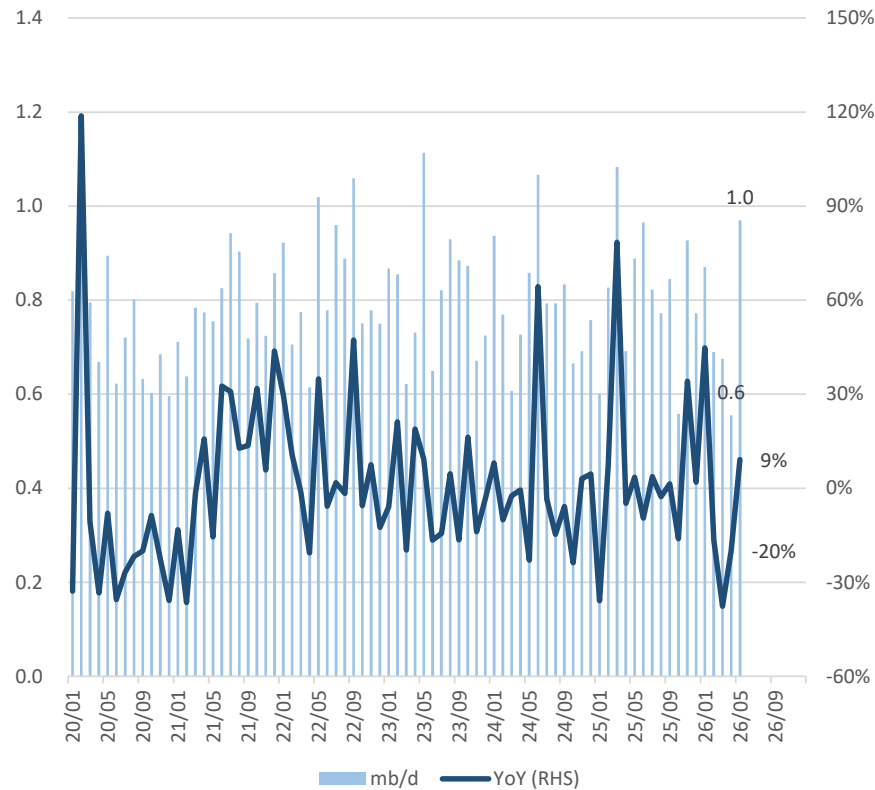
Monthly sales (TWD mn)



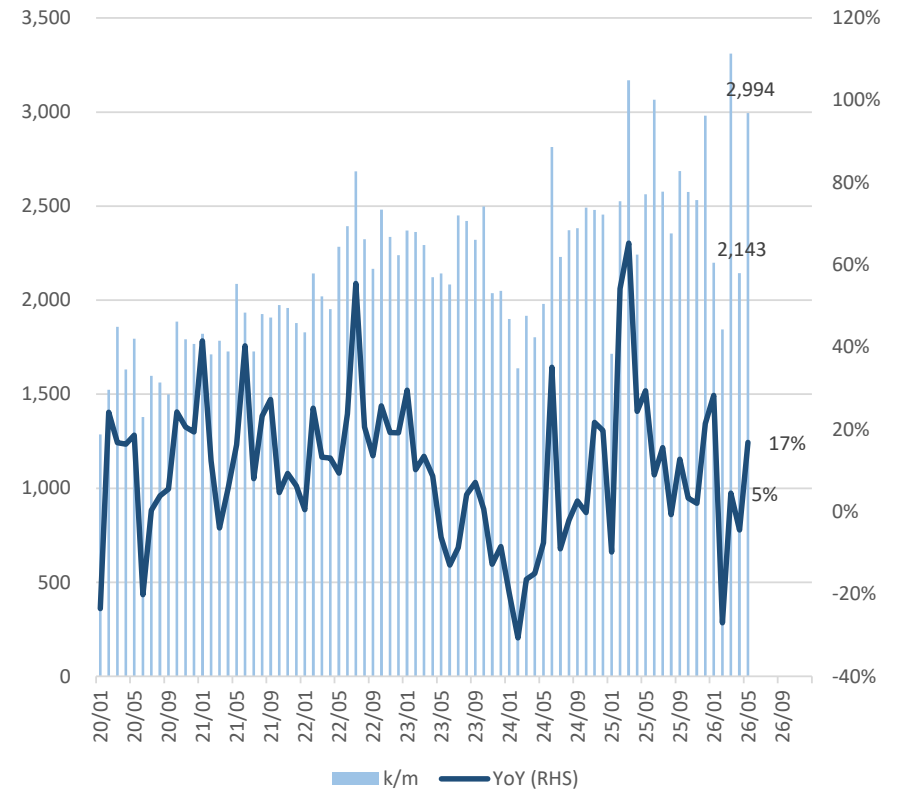
Source: Company data, Morgan Stanley Research

Taiwan's crude oil & 300mm wafer (monthly) import volumes

Crude oil imports (mb/d)



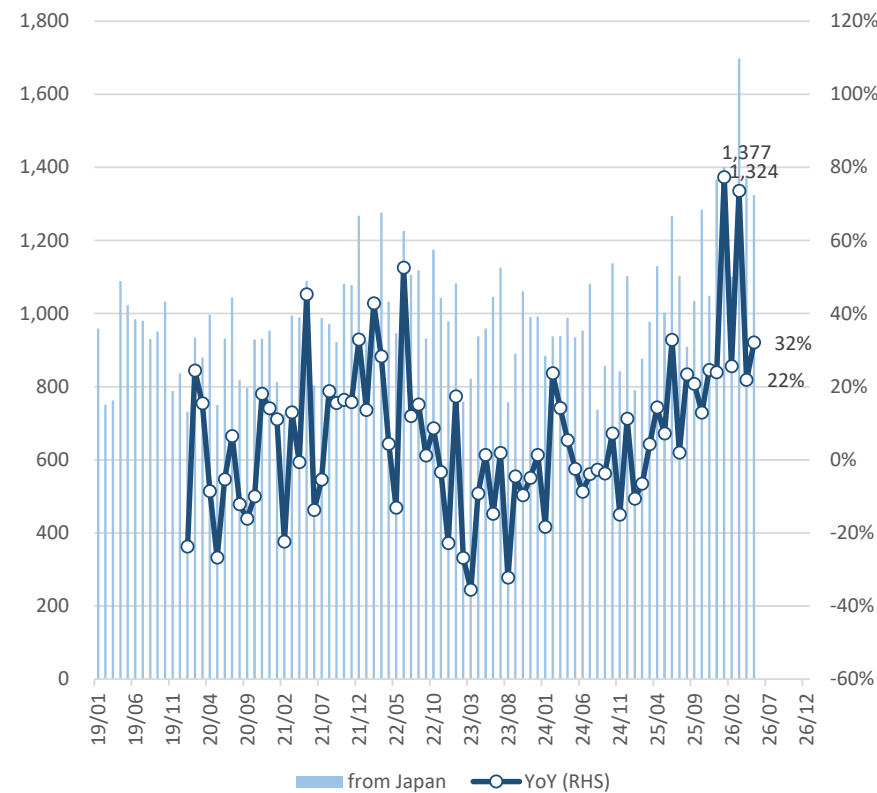
300mm wafer imports (k/m)



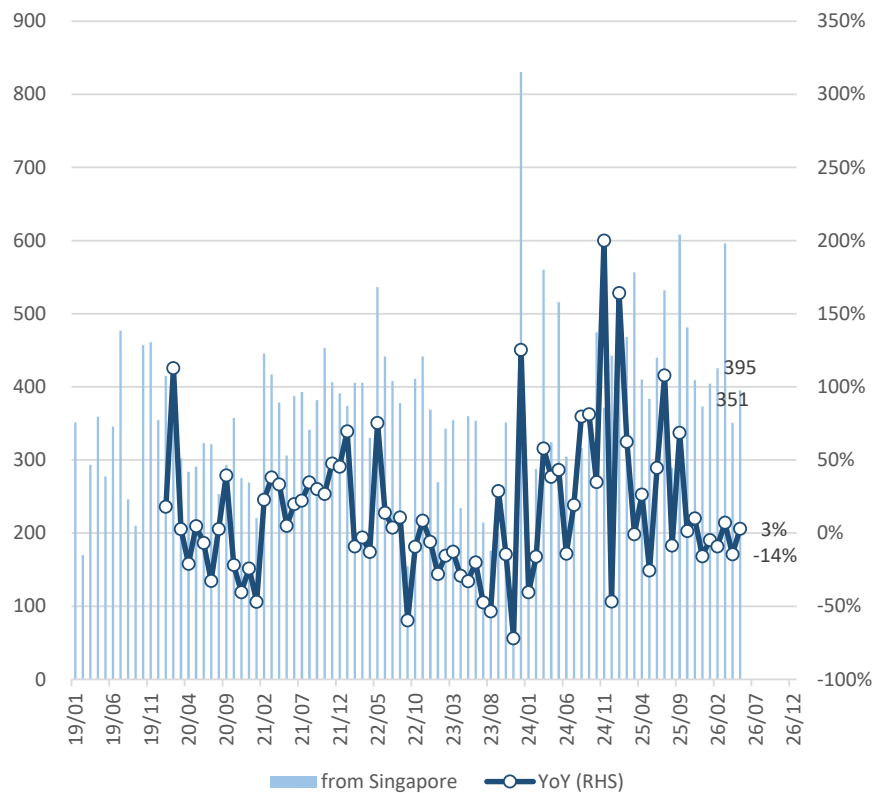
Source: Taiwan Customs, Morgan Stanley Research

South Korea's silicon wafer import volume (300mm conversion, k/m)

from Japan

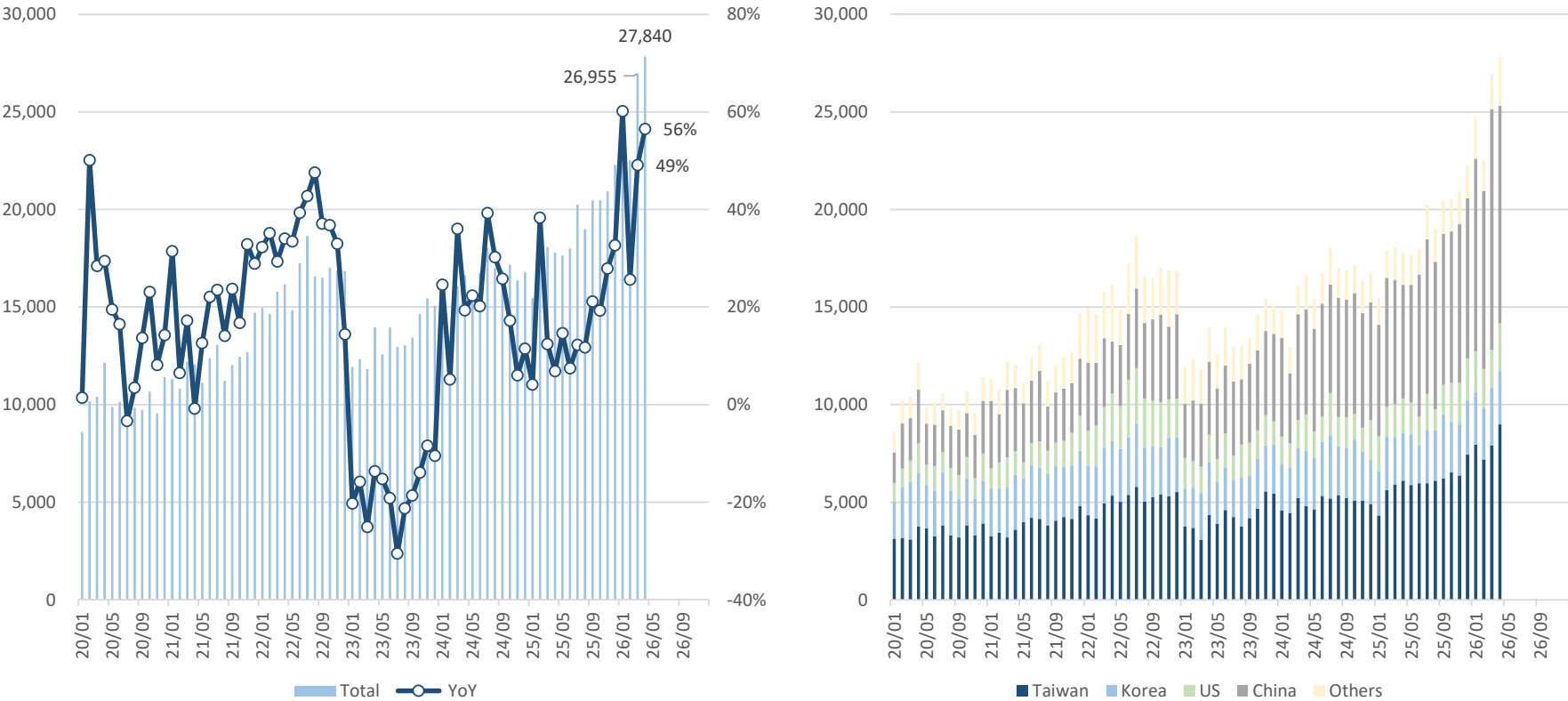


from Singapore



Source: Korea Customs, Morgan Stanley Research

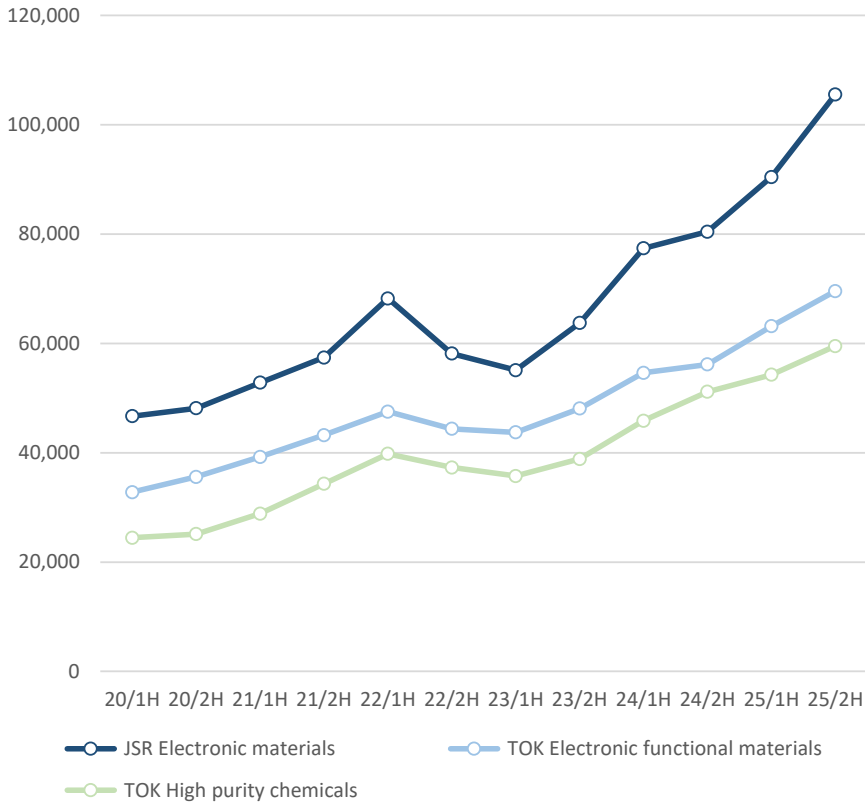
Japan's photoresist export value (monthly, ¥mn)



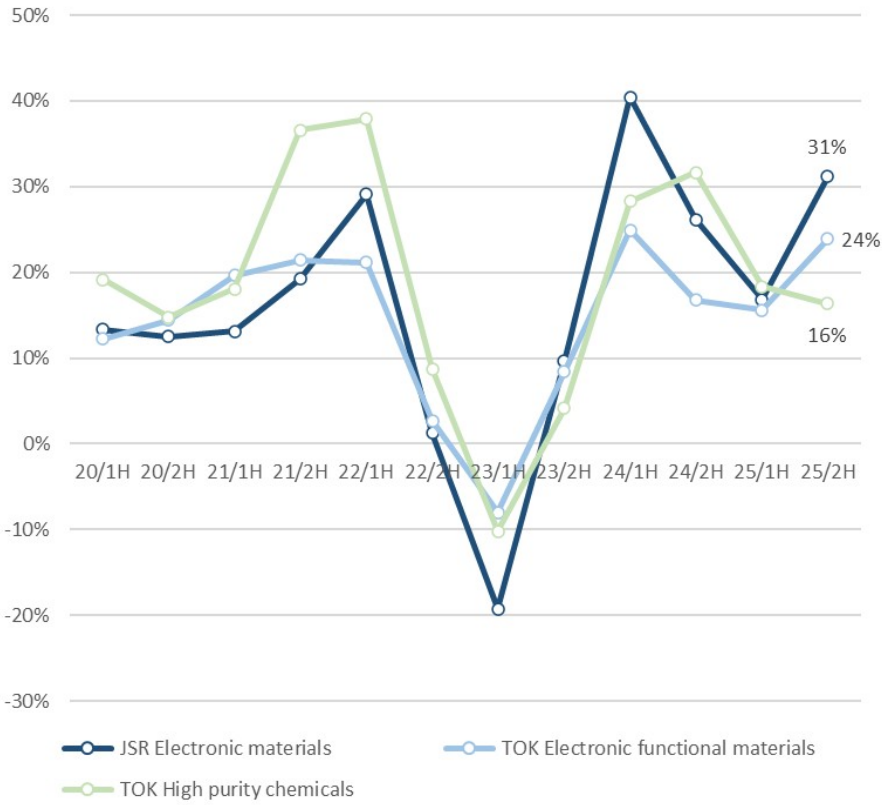
Source: MOF, Morgan Stanley Research

Sales at JSR, TOK

Sales (JPY mn)



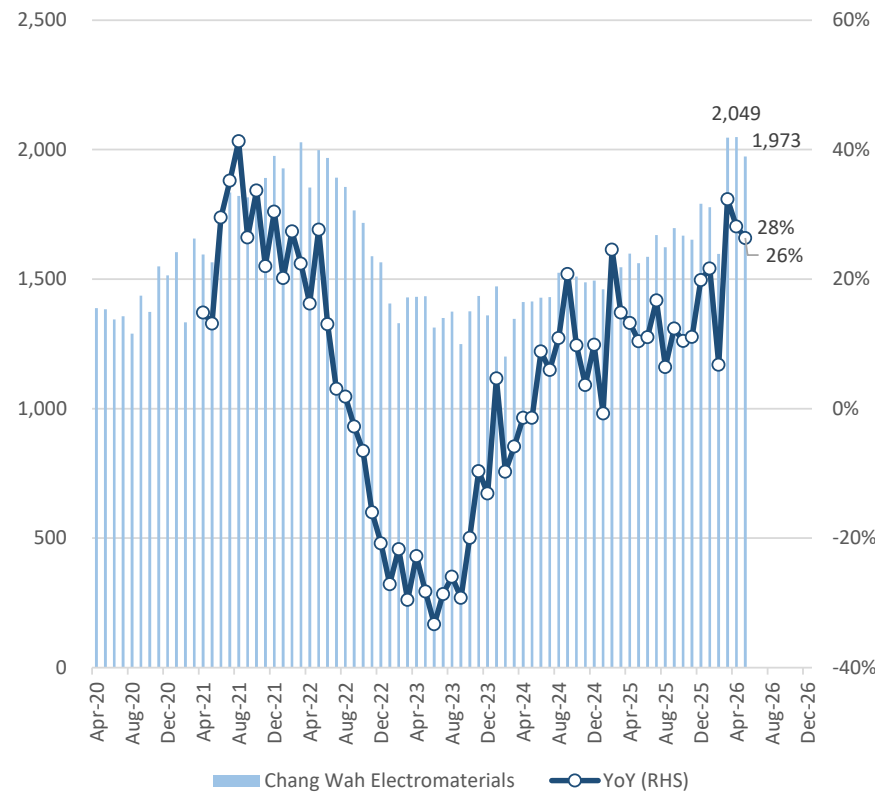
Sales (YoY)



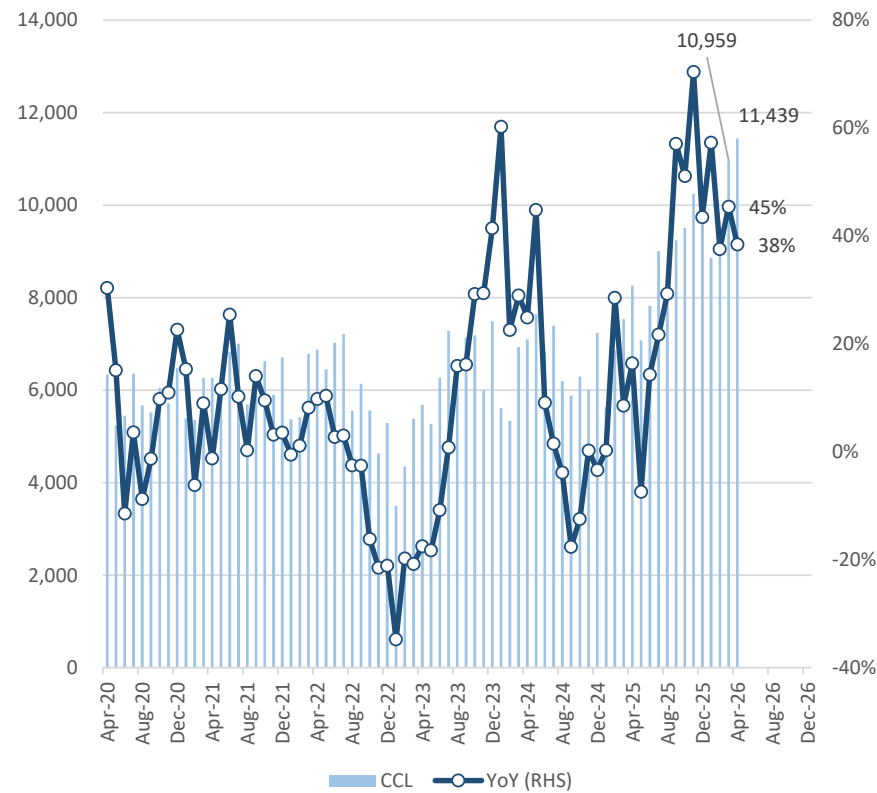
Source: Company data, Morgan Stanley Research

Taiwan's semi sealant materials sales, Japan's CCL export value

Chang Wah Electromaterials (TWD mn)



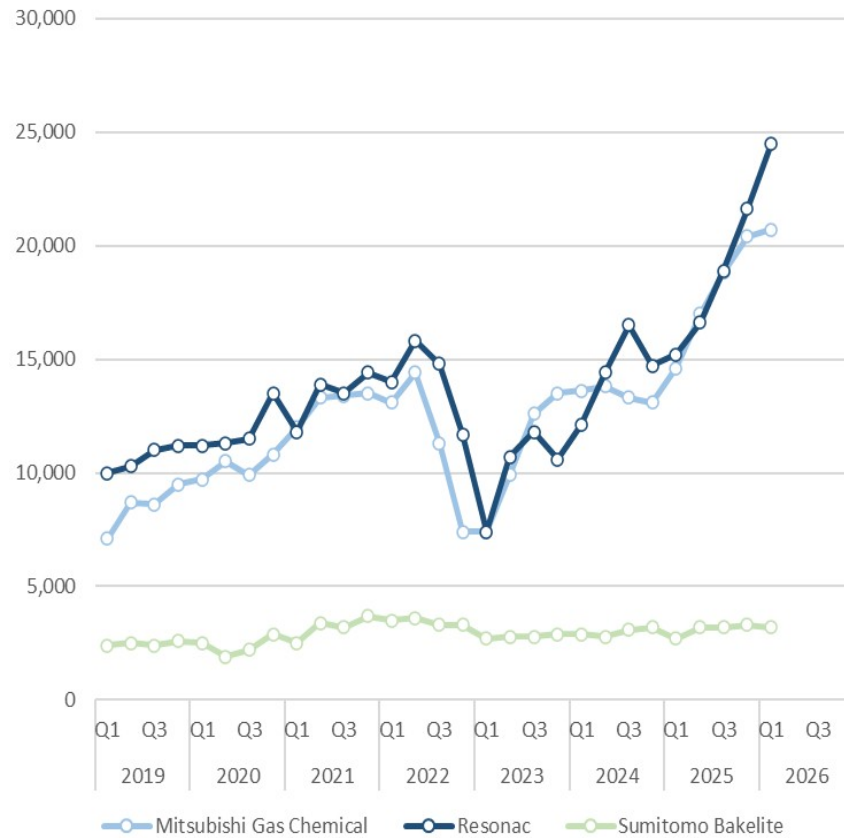
CCL (JPY mn)



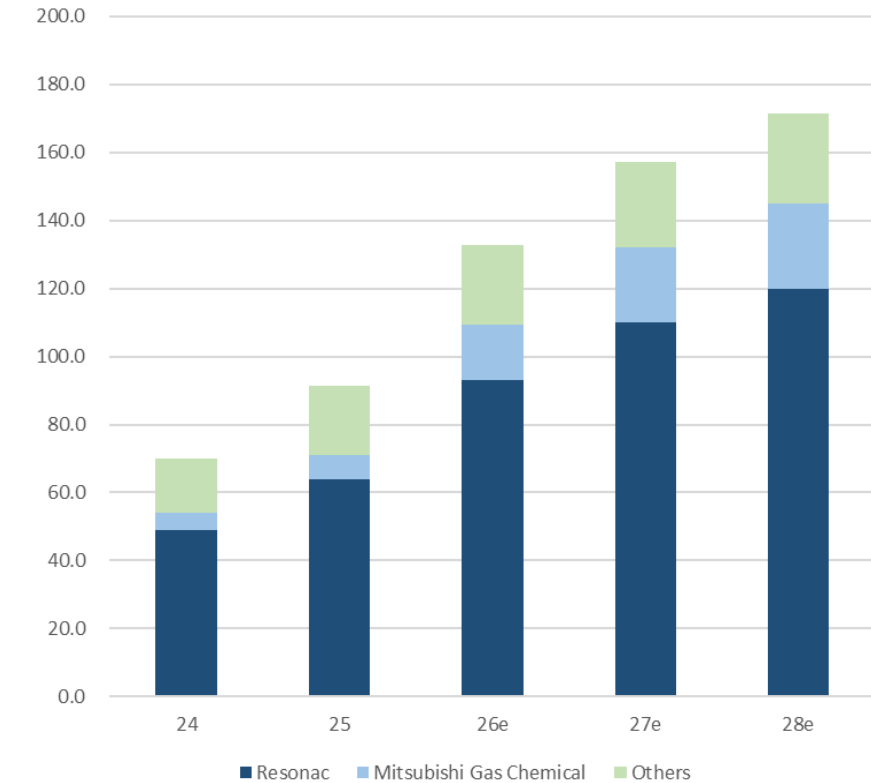
Source: Company data, MOF, Morgan Stanley Research

Copper clad laminates (CCL) market (calendar quarters/years, JPY mn)

Sales by company

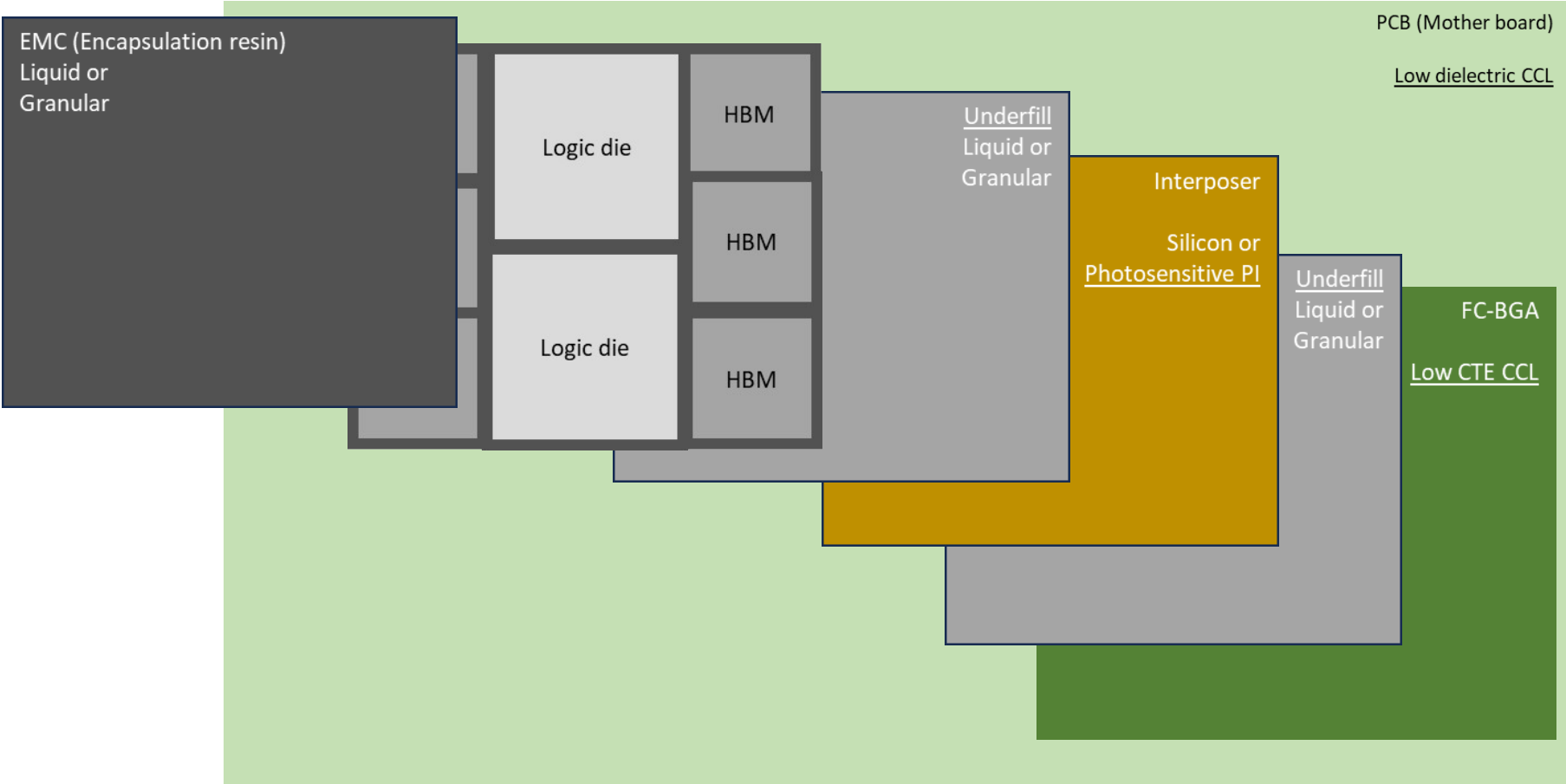


FC-BGA CCL sales by company



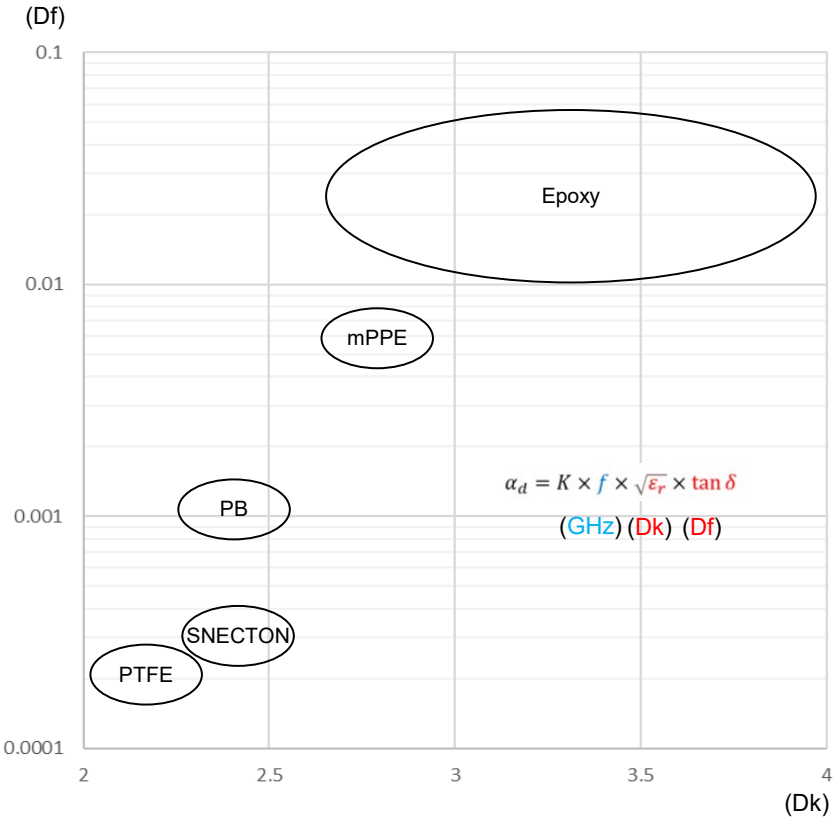
Source: Company data, Morgan Stanley Research, e= Morgan Stanley estimates

Key semiconductor back-end materials

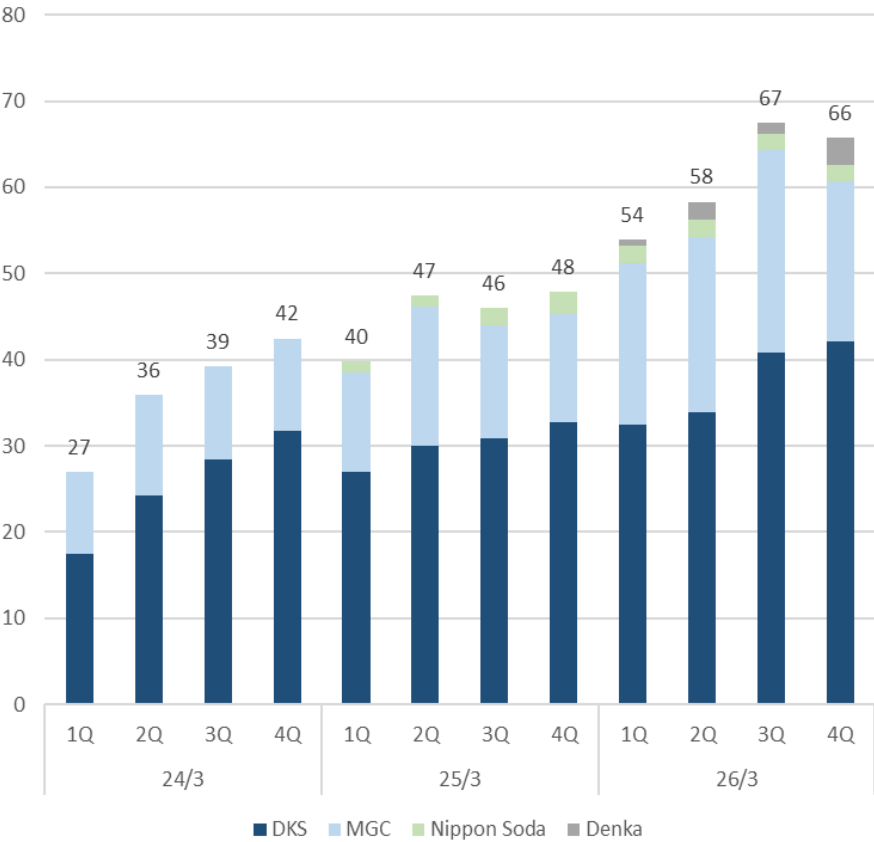


Source: Morgan Stanley Research

Low-Dk/Df resins



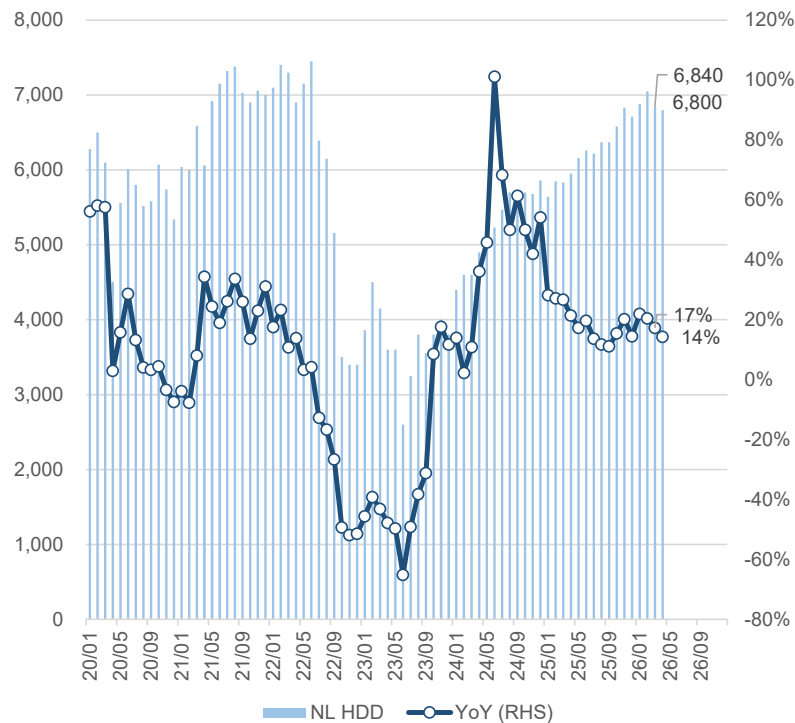
Low-Dk/Df Resin sales (USD mn)



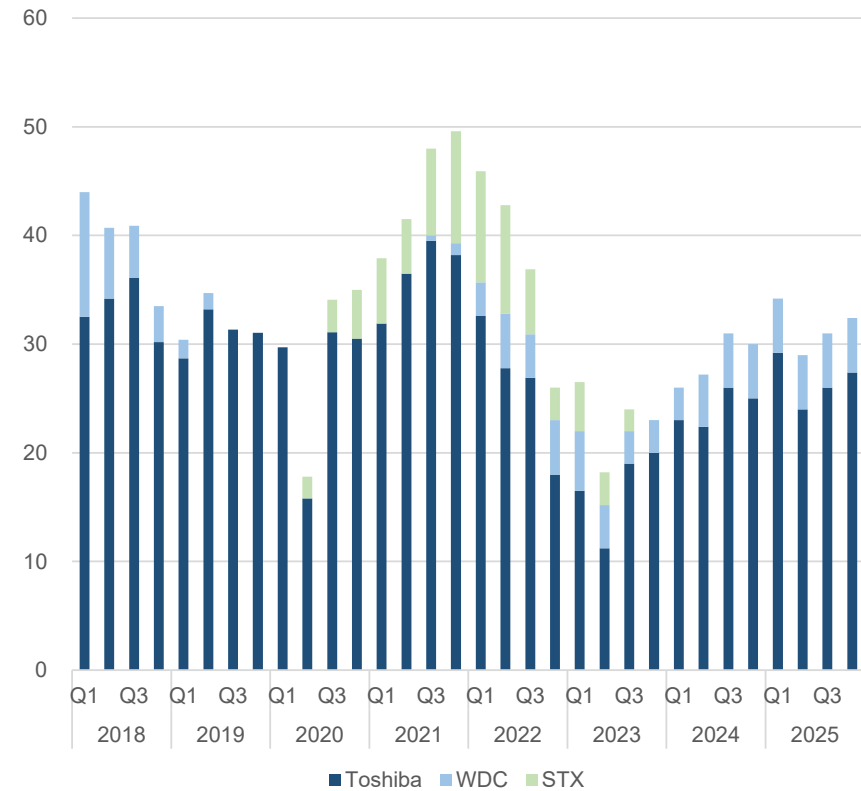
Source: Company data, Morgan Stanley Research

HDD shipment volume (monthly) & Resonac's HD media shipment volume

NL HDD shipment volume (k/m)



Resonac HD Media shipment volume (mn) breakdown



Source: TSR, Morgan Stanley Research

Ethylene earnings model (based on 700kt annual production capacity, scheduled maintenance in Feb-Apr 2026)

(JPY bn)	25/12				26/12			
Domestic Market Model	1Q	2Q	3Q	4Q	1Q	2Qe	3Qe	4Qe
JPY/USD	153	145	149	153	157	155	155	155
Naphtha (USD/bbl.)	72	66	63	63	60	110	104	97
Naphtha (JPY/kl)	73,400	66,300	63,200	65,600	65,700	111,000	105,000	99,000
Ethylene (JPY/kg)	164	150	144	148	149	239	227	215
Propylene (JPY/kg)	153	139	133	137	138	228	216	204
Sales	63.9	57.6	56.2	58.3	32.9	71.5	91.4	86.3
Ethylene	23.8	21.6	21.1	21.8	12.3	26.1	33.4	31.6
000MT	145	144	147	147	83	109	147	147
JPY/kg	164	150	144	148	149	239	227	215
Propylene	13.3	12.0	11.7	12.1	6.9	14.9	19.1	18.0
000MT	87	86	88	88	50	65	88	88
JPY/kg	153	139	133	137	138	228	216	204
Others	26.8	24.1	23.4	24.3	13.8	30.5	38.9	36.7
000MT	252	251	256	256	144	190	256	256
JPY/kg	106	96	92	95	95	161	152	143
Naphtha	-51.5	-46.2	-45.0	-46.7	-26.4	-58.6	-74.7	-70.4
000kl	702	697	712	712	402	528	712	712
JPY/kl	73,400	66,300	63,200	65,600	65,700	111,000	105,000	99,000
Fuel	-9.3	-8.3	-8.1	-8.4	-4.7	-10.5	-13.4	-12.7
000kl	126	125	128	128	72	95	128	128
JPY/kl	73,400	66,300	63,200	65,600	65,700	111,000	105,000	99,000
Marginal profit	3.2	3.1	3.2	3.2	1.8	2.4	3.3	3.2
Fixed costs	-3.0	-2.0	-2.0	-2.0	-3.0	-2.0	-2.0	-2.0
Inventory evaluation	0.0	-0.5	-0.3	-0.1	-0.2	3.1	0.9	0.1
OP	0.2	0.6	0.9	1.1	-1.4	3.5	2.2	1.3

Source: Company data, MOF, Morgan Stanley Research, e= Morgan Stanley Research estimates

Roundup

Still bullish on Resonac

- 1Q CCL sales +60% YoY; of this, estimate GPU applications +100%.
- Estimate 1Q TIM sales +60% YoY; estimate NCF +140% due to 1H25 adjustment.
- HD media: Inventory adjustment for Toshiba complete; inquiries from WDC/STX strengthening, with recovery expected from 2Q.
- Partial spin-off of Crasus Chemical (petrochemicals business) still on track.
- Growing possibility of graphite electrodes business sell-off; non-recurring items potentially all out within F12/26.

Approaching long entry point for Sumitomo Bakelite

- F3/27 sealant materials sales guidance +10% YoY, but start looks strong with Apr-May +25-30%.
- Boost for firm's sealant materials if Intel foundries acquire work from Apple. Sumitomo Bakelite also due to acquire Kyocera's semiconductor sealant materials business in Oct.
- Has also started shipments of liquid sealant material samples.

Impact of high raw materials costs on TOK unclear

- 1Q OP topped consensus on strong photoresist sales.
- 2Q may be hit by high raw materials costs, but we expect upward revision to full-year plan at end-Jul.
- However, momentum looks slightly weak vs. JSR.

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/19/2026)
Ryoichi Watanabe		
Resonac Holdings (4004.T)	O (03/04/2024)	¥18,390
Sumitomo Bakelite (4203.T)	O (05/26/2025)	¥7,710
Tokyo Ohka Kogyo (4186.T)	E (06/10/2025)	¥11,125
Takato Watabe		
Dexerials (4980.T)	E (08/27/2024)	¥4,859
Kuraray (3405.T)	E (04/03/2023)	¥1,723
Nissan Chemical (4021.T)	E (06/11/2018)	¥8,106
Nitto Denko (6988.T)	U (06/24/2022)	¥3,135
Shin-Etsu Chemical (4063.T)	O (07/27/2016)	¥7,310

SUMCO (3436.T)	U (06/09/2026)	¥4,254
ZEON (4205.T)	O (10/23/2014)	¥2,334

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